Corporate Finance

Lecture 9 extras: Reading a bond headline

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In the news this morning

France Protests Push Bond Yields Higher as Budget Pressure Grows

French bonds and stocks fell after violent protests over the weekend, raising concern among investors as the government prepares a budget to rein in its...

By **Elena Vance** October 19, 2026 2 min read



France Protests Push Bond Yields Higher as Budget Pressure Grows

- Protests over the weekend, a budget to be voted, investors worried about how France will pay its debt.
- French government bonds **fell** in price, and their **yields rose**.
- The headline treats the two as one piece of news. They are: for a bond, a lower price **is** a higher yield.
- To see why, we need four words: **face value**, **coupon**, **price** and **yield**.

What is a bond?

A bond is a loan cut into small pieces and sold to investors. France borrows by selling bonds; whoever buys one is lending to France. The contract fixes:

- **Face value** (or principal): the amount repaid at the end. Say 100 euros.
- **Coupon rate**: the interest paid every year, as a percentage of the face value. A 3% coupon on 100 of face value pays $3\% \times 100 = 3$ euros a year.
- **Maturity**: when the face value is repaid. Say 10 years.

Two more words are **not** in the contract. They come from the market:

- **Price**: what an investor pays today to own the bond. It changes every minute, as investors buy and sell.
- **Yield** (yield to maturity): the return an investor earns if they pay today's price and hold the bond until it is repaid.

The cash flows of the bond

Face value 100, coupon 3%, 10 years. The holder receives $3\% \times 100 = 3$ every year, and 100 back with the last coupon:

Year	1	2	3	4	5	6	7	8	9	10
Coupon	3	3	3	3	3	3	3	3	3	3
Face value										100
Total	3	3	3	3	3	3	3	3	3	**103**

Added up, the bond pays $10 \times 3 + 100 = 130$ euros over its life.

These cash flows are **fixed by the contract**. Protests, budgets and investor moods do not change a single one of them. The only thing that moves is the **price** people are willing to pay today for this fixed stream.

From the price to the yield

The price is what you pay today; the cash flows are what you get. The yield is the discount rate that makes the two sides equal:

$$\text{Price} = \frac{3}{1+y} + \frac{3}{(1+y)^2} + \cdots + \frac{3}{(1+y)^9} + \frac{103}{(1+y)^{10}}$$

- Same logic as the IRR of a project (Lecture 8 extras): the investment is the price, the project is the bond, and y is the return it earns.
- The market sets the price; the yield is then **computed** from it. Nobody sets a yield directly.
- If the price is exactly 100, the yield is exactly 3%: you lend 100, you receive 3 a year on it, you get your 100 back. Yield = coupon rate.

Price falls, yield rises

Suppose the sell-off pushes the price from 100 down to 96.

- The buyer at 96 still receives 3 a year and 100 at the end. The same 130 euros of cash flows now cost 4 euros less.
- Two sources of return instead of one: the coupon of 3 on an outlay of 96 (about 3.1% a year), **plus** a gain of 4 when 96 turns into 100 at maturity.
- Solving the price equation with Price $= 96$ gives $y \approx 3.5\%$.

Price paid today	Cash flows received	Yield
100	3 a year + 100	3.0%
96	3 a year + 100	3.5%
90	3 a year + 100	4.3%

Fixed cash flows, lower price, higher return. Price and yield always move in **opposite directions**: "yields rose" and "bonds fell" are the same sentence.

So what does the headline mean?

- Investors fear France's budget will not be brought under control, so lending to France looks riskier than it did on Friday.
- For the same cash flows, they now demand a higher return. The only way to get it is to pay **less**: they sell, the price drops, the yield climbs.
- **Who loses today:** anyone already holding French bonds. Their bond pays the same 3 a year, but is worth 96 instead of 100 if sold now.
- **Who pays tomorrow:** France. The next bond it issues must offer about 3.5% to find buyers, instead of 3%. Higher yield $=$ higher cost of debt for the borrower, which deepens the budget problem the protests are about.

In Lecture 9 terms: the yield is the **cost of debt** r_D. When the market sells a borrower's bonds, its r_D rises, and with it its WACC.